BME5050: Asia and the Global Economy[*]

NUS Business School

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Overview

This course introduces the theory and practice of international macroeconomics, providing students with the analytical tools necessary to understand contemporary global economic issues. Key topics include national accounting, balance of payments, global imbalances, determination of interest rates, drivers of economic growth, business cycles, and the use of monetary and fiscal policies for stabilization in open economies. The course also explores the interplay between geopolitical factors and economic policies, with special emphasis on the experiences and strategic adaptations of Asian economies. The course has two primary objectives. First, it introduces key macroeconomic variables – including interest rates, price levels, and output – and develops theoretical frameworks to explain how these variables are determined and interconnected within global economic systems. Second, it applies these frameworks to analyze historical and current events, emphasizing how geopolitical tensions, trade relations, and strategic competition among major powers influence economic outcomes, particularly in Asia. This combination of theoretical and empirical insights will enhance students' ability to contextualize managerial decisions within a broader macroeconomic and geopolitical landscape, enabling them to navigate economic uncertainty with greater precision and confidence.

Course material

Throughout the course we will mainly use simple graphical techniques, with algebraic tools introduced when needed. Communication outside of class sessions will be conducted via email. The main textbook for this course is the most recent (eleventh) edition of *Macroeconomics* by Gregory Mankiw. You may find the most recent (eleventh) edition of *International Economics* by Paul Krugman, Maurice Obstfeld, and Marc Melitz useful as well. Useful supplementary references include recent editions of textbooks by Dornbusch, Fischer, and Startz, by Abel, Bernanke, and Croushore, and by Blanchard. If certain concepts prove difficult, consulting one of these alternative references is highly recommended. To ensure productive discussions, students are strongly encouraged to read the assigned material in advance.

Course organization

The course consists of two parts:

Pre-class preparation: before the face-to-face (F2F) meetings, students will independently study two key macroeconomic topics related to national accounting (see the appended tentative course outline). A synchronous online session (3 hours) will be held in the afternoon of 18 July 2026 (Singapore time) to review the assigned material and discuss additional concepts. Two weeks later, students will be

[*] I am grateful to Andrew Rose and Antonio Fatas for their generous advice and for sharing valuable material that greatly enriched the preparation of this course.

assigned an online quiz covering all pre-segment materials. The quiz contributes to the final grade and serves as a check on comprehension.

Face-to-face sessions: there will be three intense days of F2F classes (20-22 August 2026). Students are expected to come prepared, actively participate in class, and contribute to in-class group presentations. Studying the material and preparing the presentations in advance is essential.

Grading

Final grades will be based on three components: 1) online quiz to test learning after the online session; 2) in-class participation, and 3) group presentation.

Online quiz (worth 25% of the final grade): this multiple-choice, open-book quiz will assess understanding - not memorization - of the material assigned and discussed in the online session.

In-class participation (40%): participation will be evaluated primarily on quality, and secondarily on quantity. Students should attend all sessions promptly, remain in their chosen seat throughout, and clearly display their name cards. The instructor may "cold-call" students to encourage preparation and monitor progress. Cold calls are not adversarial; students may ask for clarification or "pass" (sparingly). Excellent participation means contributing in ways that enhance the class: answering questions, asking thoughtful ones, offering insights, and engaging with classmates' presentations.

Group presentation (35%): students will work in teams to prepare and deliver an in-class presentation on a topic decided in consultation with the instructor (more information below).

More on group presentations

Students will be assigned to groups of five or six participants. Each group is expected to prepare and deliver a concise, focused presentation lasting no more than 20 minutes (this time limit will be strictly enforced), followed by a 10-minute Q&A session involving the instructor and the class. Presentations will take place during the face-to-face (F2F) sessions according to the schedule outlined below.

The primary goal of the group presentation is to apply macroeconomic tools and data analysis to address an interesting and relevant question. Questions are selected through discussion between the students and the instructor.

Groups should begin working on their presentations well before the F2F sessions commence. Early preparation includes clearly defining the research question in collaboration with the instructor, gathering and reviewing relevant data, identifying appropriate macroeconomic tools, and ensuring that all necessary resources are in place. Each group must email a tentative outline of the presentation to the instructor at least one week before the start of the F2F sessions (by August 5). This outline, which should not exceed half a page, is intended to confirm that the group has started working on the presentation and is on track for successful completion.

There are no rigid grading criteria for the group presentations; success can take various forms. Keep in mind that your audience is your classmates and the instructor, so choose a question (in consultation with the instructor) relevant to their business decisions and interests. Purely descriptive presentations should be avoided. Instead, each group is encouraged to: 1) formulate an engaging and relevant macroeconomic question, 2) frame your thinking using one (or more) of the macroeconomic tools developed in class (including terms, simple models, and graphs), 3) support your answer with appropriate and reliable data; then 4) provide a clear conclusion, explicitly acknowledging any

limitations or caveats. In short, your task is to pose an interesting macroeconomic question and offer a plausible, data-driven answer grounded in a clear theoretical framework.

Additional suggestions for the group presentation:

- Clearly explain why your question matters, for instance, because it affects many people, has significant short-term relevance, or holds important long-term implications. Ensure the audience fully understands your question and your motivation;
- After stating your question, introduce an appropriate macroeconomic framework to guide your analysis. This framework will help you identify relevant data and logically organize your findings;
- If your results seem unexpected or counterintuitive, revisit and question your assumptions. Consider alternative approaches or implications of your findings;
- Explicitly acknowledge and clearly explain any limitations or challenges in your analysis;
- Keep the time constraints in mind and prioritize clarity and substance over elaborate slides;
- Anticipate and prepare thoroughly for questions.

Assignment for pre-segment work

The following readings should be completed prior to the synchronous online session:

- *Macroeconomics* by Mankiw: chapters 1-3 and sections 6.1-6.2
- *International Economics* by Krugman, Obstfeld, and Melitz: Chapter 13 (pages 349 to 361)

To ensure you fully grasp the assigned readings, you should be able to: i) read and comprehend each chapter summary without difficulty, ii) discuss each review question for at least one minute, iii) answer end-of-chapter questions or quizzes with minimal difficulty.

Additionally, the following optional video resources offer valuable insights on concepts covered in the readings:

- Marginal Revolution University's YouTube channel (link)
- Economics Explained YouTube channel (link), particularly videos on current geopolitical issues in international macroeconomics.
- Paul Krugman's masterclass on "*Economics and Society*": videos 1-5 and 20;

Tentative Course Outline

(*Key learning objectives are provided in parenthesis for each section below*)
Note: Suggested readings and videos are included. Timings are indicative and may be adjusted during the course.

I. Pre-Segment Learning

a. Introduction (*Recap: What is Macroeconomics?*)
   - Readings: Mankiw Chapters 1-2
   - Videos: Krugman Videos 1-5 and 20

b. Macroeconomic variables and national accounting for an open economy (*How do we measure and compare economic activity across countries? How do we account for national income and saving in an open economy?*)
   - Readings: Mankiw Chapters 3 and 6.1-6.2; Krugman, Obstfeld, and Melitz Chapter 13 (p.349 to 361)

II. Day 0: Pre-Segment Online Class [afternoon, July 18]

a. Overview of Part I

b. National accounting, balance of payments, capital flows, and global imbalances (*What is the relationship between national accounting and balance of payments? Are perpetual trade deficits sustainable?)*
   - Readings: Krugman, Obstfeld, and Melitz Chapter 13 (p.362 to 373)

c. Modelling and model selection (*What is a model? What models are appropriate?*)
   - Readings: Milton Friedman (1953) "*The Methodology of Positive Economics"*

III. Pre-Segment Online Quiz, **Multiple-Choice Questions** [To be completed before August 5]

IV. Day 1 [Morning Session, August 20]

a. Economic Growth. (*What are the growth dynamics across countries? What are the determinants of growth?*)
   - Readings: Mankiw Chapters 9-10

b. Presentation Group #1: TBD

V. Day 1 [Evening Session, August 20]

a. Solow-Swan growth model (*A workhorse model for long-run growth*)
   - Readings: Mankiw Chapter 8

b. Presentation Group #2: TBD

VI. Day 2 [Morning Session, August 21]

a. Money, inflation, and interest rates (*What is money? What is the role of the Central Bank? What are the costs of inflation?*)
   - Readings: Mankiw Chapter 4-5

b. Presentation Group #3: TBD

c. Presentation Group #4: TBD

VII. Day 2 [Evening Session, August 21]

a. Business cycles (*What are the business cycle dynamics across countries? What causes recession?*)
   - Readings: Mankiw Chapter 11

b. The IS-LM model (*A model to investigate short-run business cycles in output and interest rates.*)
   - Readings: Mankiw Chapter 12-13

c. Presentation Group #5: TBD

VIII. Day 3 [Morning Session, August 22]

a. Fiscal Policy (*What is the role of fiscal policy over business cycle? Government spending type and debts?*)

b. Presentation Group #6: TBD

IX. Day 3 [Evening Session, August 22]

a. Geopolitics and macro economics (*How geopolitical forces influences macroeconomic policies and outcomes*)

b. Presentation Group #7: TBD

c. Presentation Group #8: TBD
